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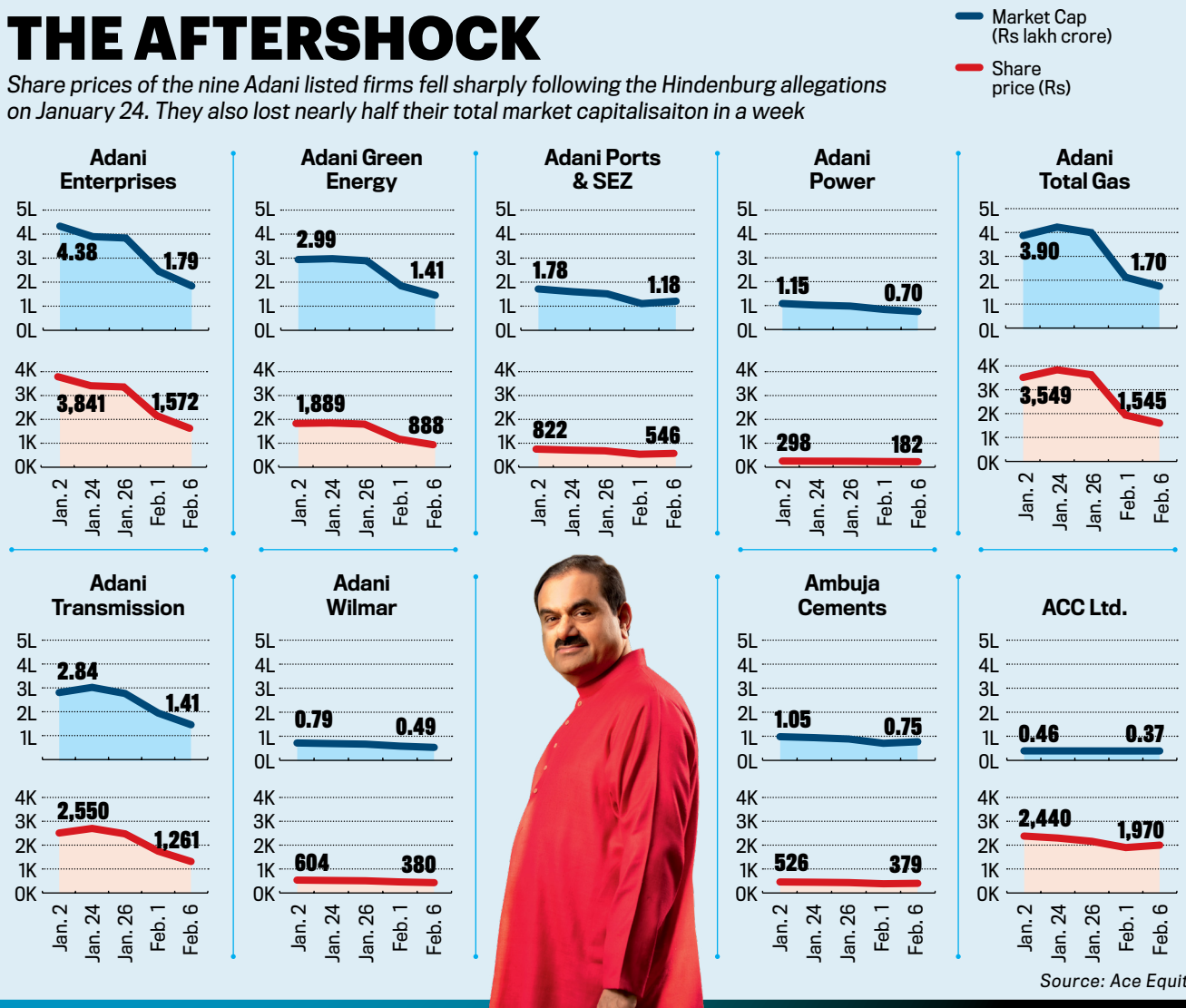
"THE INGREDIENTS THAT LED TO ADANI STOCK MELTDOWN INCLUDE A FAMILY GROUP OBSESSED WITH CONTROL, AND A MARKET WHERE TRADING MOMENTUM TRUMPS FINANCIAL FUNDAMENTALS..."

to generate a fake turnover, pledging shares of its artificially inflated stocks for loans. The charges took the group completely by surprise, and even as they scrambled to pull themselves together, their stocks plummeted on the bourses.

It took two days for the Adani Group to come out with an exhaustive 413-page clarification, in which it maintained that the Adani portfolio companies had from time to time disclosed answers to 65 of the 88 questions in the report. Of the remaining 23 questions, 18 were related to public shareholders and third parties and five, it claimed, were baseless allegations. It dismissed the charges as being a "selective and manipulative presentation of matters already in the public domain to create a false narrative". The Adani Group asserted that it is in complete compliance with all applicable laws and regulations and may pursue "remedies to safeguard our stakeholders before all appropriate authorities". It also termed the allegations an attack on the nation. In a rebuttal to Adani's explanations, Hinden-

THE AFTERSHOCK

Share prices of the nine Adani listed firms fell sharply following the Hindenburg allegations on January 24. They also lost nearly half their total market capitalisaiton in a week



Source: Ace Equity